

Yum China Holdings (YUMC)

Earnings Review: Resilience amid tough macro; New initiatives progress encouraging;
Buy (on CL)

YUMC	12m Price Target: \$59.00	Price: \$45.85	Upside: 28.7%
9987.HK	12m Price Target: HK\$459.00	Price: HK\$365.80	Upside: 25.5%

The key takeaways from YUMC's solid 2Q26 results earnings call reaffirmed our positive view. Despite a fluid consumption backdrop, YUMC delivered SSSG improvement in 2Q26 and the **initial tone for 3Q also shows confidence, ahead of investors' cautious view** prior to the results given weak consumption sentiment, unfavorable weather conditions, and a high base last year. Aside from its solid execution track record, new formats/modules (i.e. K coffee Cafe, K Pro, Pizza Hut Burger Bar etc) have delivered solid performance and contributed to the parent stores, opening up new revenue streams; YUMC has further accelerated the new format roll-out. Mgmt comments on the **rising chain ratio in the catering industry and disciplined promotion/pricing in the market are also encouraging.** Looking ahead, we see solid catalysts from an easier base for margin in 2H on the back of less expense pressure from delivery mix increase. Separately, mgmt noted upside potential from stronger Pizza Hut growth and improved profitability following the acquisition (on track in August 2026, per mgmt). Remain Buy (on CL) with new TP at US\$59/HK\$459 (prior: US\$58/HK\$452).

Key highlights from the earnings call include: 1) **Looking into 3Q26, management targets positive SSSG and noted that Jul performance has been broadly in line with their expectation; restaurant margin is expected to be stable or slightly up yoy** with less headwind from delivery mix yoy increase and continuous cost optimization/efficiency gain, while **OPM is expected to be stable or slightly improved yoy** though there will be less benefit yoy from government subsidy (per mgmt, they are not including the PH acquisition impact, which they expect will bring 20-30bps OPM benefit in 3Q, in their guidance). Management reiterated confidence in meeting full year guidance without considering the impact from the PH brand acquisition (expected to close in Aug per mgmt), which they expect would have a slightly accretive margin impact this year.

BUY (CL)

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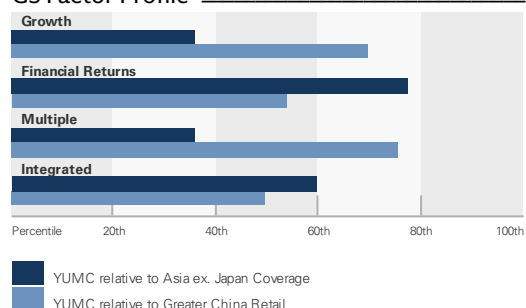
Key Data

Market cap: \$15.8bn
Enterprise value: \$16.8bn
3m ADTV: \$73.5mn
China
Greater China Retail
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (\$ mn) New	11,797.0	12,952.6	13,842.1	14,828.8
Revenue (\$ mn) Old	11,797.0	12,683.1	13,286.9	14,237.4
EBITDA (\$ mn)	1,737.5	1,923.6	2,080.2	2,256.1
EPS (\$) New	2.50	2.94	3.36	3.77
EPS (\$)	2.50	2.87	3.28	3.69
P/E (X)	18.4	15.6	13.7	12.2
P/B (X)	3.0	3.1	2.9	2.7
Dividend yield (%)	2.1	2.6	2.9	3.3
CROCI (%)	10.5	15.1	33.3	22.7
	3/26	6/26	9/26E	12/26E
EPS (\$)	0.87	0.70	0.89	0.46

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY CL

Yum China Holdings (YUMC)

Rating since Apr 17, 2019

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.4	15.6	13.7	12.2
P/B (X)	3.0	3.1	2.9	2.7
FCF yield (%)	4.8	6.3	6.9	8.1
EV/EBITDAR (X)	9.8	8.5	7.5	6.7
EV/EBITDA (excl. leases) (X)	8.7	7.5	6.6	5.9
CROCI (%)	10.5	15.1	33.3	22.7
ROE (%)	16.4	19.5	21.9	23.1
Net debt/equity (%)	(4.6)	3.6	1.2	(1.8)
Net debt/equity (excl. leases) (%)	(34.5)	(28.4)	(29.4)	(31.1)
Interest cover (X)	—	—	—	—
Days inventory outst, sales	13.0	12.9	13.0	12.8
Receivable days	2.7	3.0	3.4	3.8
Days payable outstanding	222.2	215.1	219.0	218.5
DuPont ROE (%)	15.0	17.5	18.3	19.1
Turnover (X)	1.1	1.2	1.3	1.3
Leverage (X)	1.8	1.9	1.8	1.8
Gross cash invested (ex cash) (\$)	22,012.8	7,313.8	7,740.6	8,155.7
Average capital employed (\$)	3,822.5	4,039.0	4,145.7	4,244.5
BVPS (\$)	15.19	14.77	15.73	16.78

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	4.4	9.8	6.9	7.1
EBITDA growth	6.1	10.7	8.1	8.5
EPS growth	7.2	17.4	14.2	12.5
DPS growth	51.1	22.6	14.2	12.5
EBIT margin	10.9	11.2	11.4	11.6
EBITDA margin	14.7	14.9	15.0	15.2
Net income margin	7.7	7.7	7.9	8.0

Price Performance



Income Statement (\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	11,797.0	12,952.6	13,842.1	14,828.8
Cost of goods sold	(3,455.0)	(3,776.9)	(3,978.5)	(4,211.1)
SG&A	(3,934.0)	(4,260.9)	(4,606.7)	(4,985.4)
R&D	—	—	—	—
Other operating inc./exp.)	(131.5)	(140.0)	(149.0)	(161.0)
EBITDA	1,737.5	1,923.6	2,080.2	2,256.1
Depreciation & amortization	(448.0)	(473.6)	(506.9)	(541.0)
EBIT	1,289.5	1,450.0	1,573.3	1,715.1
Net interest inc./exp.)	92.0	49.1	38.0	41.0
Income/(loss) from associates	—	—	—	—
Pre-tax profit	1,357.5	1,482.1	1,611.2	1,756.1
Provision for taxes	(369.0)	(400.2)	(435.0)	(474.1)
Minority interest	(75.0)	(81.2)	(86.6)	(92.8)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	913.5	1,000.7	1,089.6	1,189.2
Post-tax exceptionals	15.0	13.0	15.0	15.0
Net inc. (post-exceptionals)	928.5	1,013.7	1,104.6	1,204.2
EPS (basic, pre-exception) (\$)	2.48	2.92	3.33	3.75
EPS (diluted, pre-exception) (\$)	2.46	2.90	3.31	3.73
EPS (basic, post-exception) (\$)	2.52	2.96	3.38	3.80
EPS (diluted, post-exception) (\$)	2.50	2.94	3.36	3.77
DPS (\$)	0.96	1.17	1.34	1.51
Div. payout ratio (%)	38.6	40.2	40.2	40.2

Balance Sheet (\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,136.0	1,650.0	1,780.6	1,962.6
Accounts receivable	95.0	115.2	142.0	169.2
Inventory	438.0	478.8	504.4	533.9
Other current assets	366.0	391.8	416.0	444.2
Total current assets	3,035.0	2,635.8	2,843.0	3,109.9
Net PP&E	2,543.0	2,672.9	2,768.7	2,829.5
Net intangibles	2,111.0	2,177.7	2,244.4	2,311.0
Total investments	387.0	387.0	387.0	387.0
Other long-term assets	2,707.0	2,707.0	2,707.0	2,707.0
Total assets	10,783.0	10,580.4	10,950.0	11,344.4
Accounts payable	2,127.0	2,325.2	2,449.3	2,592.5
Short-term debt	30.0	30.0	30.0	30.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	89.0	89.0	89.0	89.0
Total current liabilities	2,246.0	2,444.2	2,568.3	2,711.5
Long-term debt	—	—	—	—
Long-term lease liabilities	1,823.0	1,823.0	1,823.0	1,823.0
Other long-term liabilities	615.0	608.3	601.6	594.8
Total long-term liabilities	2,438.0	2,431.3	2,424.6	2,417.8
Total liabilities	4,684.0	4,875.5	4,992.8	5,129.3
Preferred shares	—	—	—	—
Total common equity	5,379.0	4,903.7	5,069.3	5,234.5
Minority interest	720.0	801.2	887.9	980.6
Total liabilities & equity	10,783.0	10,580.4	10,950.0	11,344.4
Net debt, adjusted	(2,106.0)	(1,620.0)	(1,750.6)	(1,932.6)

Cash Flow (\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	913.5	1,000.7	1,089.6	1,189.2
D&A add-back	448.0	473.6	506.9	541.0
Minority interest add-back	75.0	81.2	86.6	92.8
Net (inc)/dec working capital	(109.0)	111.4	47.5	58.4
Other operating cash flow	123.5	—	—	—
Cash flow from operations	1,466.0	1,679.9	1,745.6	1,896.3
Capital expenditures	(626.0)	(645.1)	(644.4)	(643.5)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(12.0)	(25.0)	(25.0)	(25.0)
Cash flow from investing	(651.0)	(670.1)	(669.4)	(668.5)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(353.0)	(402.4)	(438.5)	(478.1)
Inc/(dec) in debt	—	—	—	—
Other financing cash flows	(1,325.0)	(1,093.3)	(507.2)	(567.7)
Cash flow from financing	(1,678.0)	(1,495.7)	(945.7)	(1,045.7)
Total cash flow	(863.0)	(486.0)	130.6	182.1
Free cash flow	840.0	1,034.7	1,101.3	1,252.8

Source: Company data, Goldman Sachs Research estimates.

2) New initiatives' progress encouraging. KCoffee Cafe is on track to reach 5k locations by year end, with sales expected to double yoy to Rmb2bn this year; management revised up KPro opening guidance again to 800 by year end (from 600 prior), and has been expanding this model towards lower tier cities. Meanwhile, several other new initiatives are viewed as promising, including PH Burger side-by-side which has expanded to >200 locations with DD% sales uplift/meaningful profit to parent store, and KFC drive thru which is expected to exceed Rmb1bn sales this year. **3) PH brand acquisition to further unlock growth and margin opportunity per mgmt.** Post closing of the acquisition, mgmt expect the company to see 2.8pp benefit to PH restaurant margin (post VAT), which they expect will improve UE and help to lower sales threshold for opening stores that can achieve 2-3 year payback; meanwhile, management highlighted that this will bring more operational flexibility. Management revised up store addition guidance to >800 p.a. in 2027-28, from >600 p.a. prior. Regarding financing, the company will leverage US\$1.2bn bridge loan for 12 months first with interest rate of ~2%, and has been evaluating different options for future financing. Management reiterated shareholder return guidance, and they noted the faster growth of PH could also bring benefit to FCF. **4) Comments on competition landscape:** management noted pricing trend has been stable, and commented that more rational competition from delivery platforms/ongoing chainification and crackdown on ghost kitchens are tailwinds for the company.

We revised up 2026-28E earnings forecast by ~2.5%, factoring in 2Q26 results, updated FX assumptions, and yoy margin improvement in 2H. Despite the fluid consumption backdrop, we view YUMC's TAM expansion with strong execution in new initiatives, as well as continuous efficiency gain would support earnings visibility. Our current estimate does not reflect the PH brand acquisition impact.

We would like to thank Mattie, He for her contribution to the report.

Key takeaways from the conference call

Recent trends: Mgmt noted that July trading was broadly in line with expectations despite temporary regional disruptions from extreme weather. Consumer demand remained resilient in coffee, light meals, innovative products and experiences. Pricing trends continued to stabilize, and competition among delivery platforms became more rational. Mgmt noted room for further consolidation by leading brands thanks to the ghost kitchen regulation and outperformance of chain brands vs nationwide retail sales growth.

Outlook on FY26/2H26/3Q26/after PH brand deal/longer-term:

- **The company reaffirmed its 2026 full-year targets** excluding the PH brand deal, including an SSSG of 0-2%, MSD-HSD% system sales growth, HSD% OP growth, DD% EPS growth, and slight improvement in both restaurant margin and OPM. The company also remains on track to reach 20k stores by year-end.
- **In 3Q26,** Mgmt targets positive SSSG and transaction growth. Excluding the PH deal impact, mgmt expects restaurant margin to be stable to slightly positive yoy, as incremental rider-cost pressure moderates. OPM is expected to be broadly flat or slightly improved yoy, partly due to the non-recurrence of government subsidies recorded in 3Q25.

- **In 2H26**, for PH, mgmt expects restaurant margin to show greater yoy improvement than in 1H26, driven by improved efficiency and moderating rider-cost pressure, broadly stable COGS and continued efficiency improvements. Mgmt maintained its FY26 PH COGS guidance of c.34% and the long-term target of ~31% (+/-1%).
- **Update on the PH brand deal:** Mgmt noted the transaction remains on track to close in Aug. Per mgmt, savings from the 3% PH license fee are expected to add c.2.8ppt to PH restaurant margin (after VAT) and c.60bps to Yum China's margin. Mgmt expects the deal should contribute c.30-40bps to restaurant margin and OPM in 3Q26 and c.20-30bps for FY26 after deal costs, financing expenses and tax; they expect EPS impact to be slightly accretive in 2026 and MSD% accretive in 2027-28. Mgmt expects PH net openings to exceed 800 annually in both 2027 and 2028, versus the previous target of over 600.

Pizza Hut brand acquisition:

- **Financing:** The Company is on track to close the acquisition of the Pizza Hut brand in Mainland China in August and plans to secure around \$1.2 billion equivalent offshore bridge loan to finance the transaction, which carries ~2% interest rate. Per mgmt, longer-term financing options remain preliminary and may include syndicated loans, bonds, or convertible bonds. If convertible bonds are used, the group is committed to minimizing potential dilution, including capped calls with high premium conversion and net share settlement.
- **Strategical benefits:** Mgmt expects savings in license fees will bring Pizza Hut's restaurant margin closer to KFC's level, enabling more new stores to meet the 2-to-3-year payback requirement. With the improved margin profile, mgmt uplifted the store expansion target. In longer term, mgmt expects the brand's ownership to provide greater operational flexibility, such as product and menu innovation.

New initiatives' progress

- **KCoffee cafe:** Store count reached 3,300 in 2Q26, adding ~700 from the prior quarter. Management aims to double sales yoy to Rmb 2bn in 2026 and continues to target 5k stores by end of 2027. KCoffee Cafe continued to deliver MSD% sales uplift to the parent KFC stores.
- **Kpro:** Store count reached 450+ from 280 in the prior quarter, with ~20% sales uplift to the company store. Management raised targets to 800 store count (up from 600) by year-end. KPRO is delivering ~20% sales uplift to parent KFC stores, showing solid margin improvement, and expanding across Tier 1, Tier 2, and select lower-tier cities. Management expects KPRO sales to quadruple year over year in 2026 and exceed RMB 1bn in 2027.
- **KFC drive-thru and car-side pickup:** The Company has >8,000 KFC drive-thru locations, but active member penetration is only c.3%, leaving significant room for adoption growth. Management targets RMB 1bn in sales from this channel in 2026.
- **PH burger bar:** Pizza Hut Burger Bar has been well-received. Within roughly six months, it expanded to 200+ locations and generated DD% incremental sales uplift to parent Pizza Hut stores, with meaningful profit contribution (though initial COS is

higher and margin lower than brand's average). Management plans to accelerate it to 500-600 locations by the end of 2026, equivalent to c.10% of the Pizza Hut store base, and targets more than RMB 1bn in sales this year, or c.5-6% of Pizza Hut sales. Management stated that burger sales appear incremental to the group, with the format offering customer choice and differentiated product attributes versus KFC.

- **PH Wow:** Pizza Hut Wow stores continue to help the brand penetrate lower-tier cities with store count reaching >400.

Comments on SSSG and store expansion pace: Mgmt noted faster store expansion does not necessarily lead to lower SSSG, citing countermeasures including discovering untapped white space opportunities, strategic channels, prime areas in high tier cities, etc.

Pricing and competition: Mgmt observed continued stabilization in industry pricing, with more players willing to take pricing actions and delivery-platform competition becoming more rational. KFC avg. ticket declined 3% yoy to Rmb36, mainly due to incremental smaller orders from KCoffee, Kpro and other new customer occasions, while transactions grew 4%. PH avg. ticket declined 11% to Rmb68, approaching its Rmb60-70 target range under the mass-market strategy, while transactions increased 13%. Mgmt continues to prioritize traffic, value for money and incremental occasions over headline ticket growth.

Shareholder returns: The company reiterates its plan to return \$1.5bn to shareholders in 2026. Starting in 2027, the group reiterates that it will return c. 100% of annual free cash flow after dividends to non-controlling interests, implying \$900 million to over \$1 billion in 2027 and 2028, and to exceed \$1 billion in 2028. In addition, mgmt noted upside potential from stronger Pizza Hut growth and improved profitability following the acquisition.

Exhibit 1: Sales and SSSG breakdown

Sales breakdown by delivery and dine-in	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Yum China cFX sales growth yoy	7%	4%	4%	4%	2%	4%	4%	7%	4%	6%
Delivery as % of company sales	39%	38%	40%	42%	43%	45%	50%	53%	54%	54%
Delivery cFX growth yoy	13%	10%	17%	14%	13%	24%	31%	34%	31%	26%
Estimated cFX sales growth yoy accounted by delivery	5%	4%	6%	5%	5%	9%	12%	14%	13%	12%
Estimated cFX sales growth yoy accounted by dine-in	2%	0%	-2%	-1%	-3%	-5%	-8%	-7%	-9%	-6%

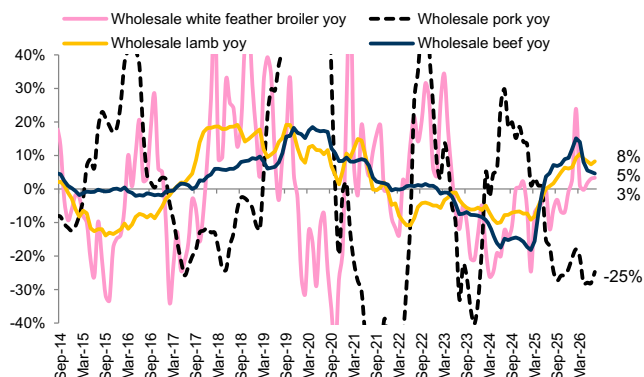
SSSG breakdown by transaction and pricing	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	1Q24 vs. 1Q19	2Q24 vs. 2Q19	3Q24 vs. 3Q19	4Q24 vs. 4Q19	1Q25 vs. 1Q19	2Q25 vs. 2Q19	3Q25 vs. 3Q19	4Q25 vs. 4Q19	1Q26 vs. 1Q19	2Q26 vs. 2Q19
KFC SSSG	-2%	-3%	-2%	-1%	0%	1%	2%	3%	1%	1%	-10%	-12%	-12%	-16%	-10%	-11%	-10%	-13%	-9%	-10%
Transaction	4%	4%	1%	3%	4%	0%	3%	3%	1%	4%	-18%	-19%	-16%	-20%	-14%	-19%	-14%	-17%	-13%	-16%
Ticket size	-6%	-7%	-3%	-4%	-4%	1%	-1%	0%	-1%	-3%	10%	7%	5%	5%	5%	8%	4%	5%	4%	5%
Pizza Hut SSSG	-5%	-8%	-6%	-2%	0%	2%	1%	1%	-1%	1%	-8%	-14%	-14%	-16%	-8%	-13%	-13%	-15%	-9%	-12%
Transaction	8%	2%	4%	9%	17%	17%	17%	13%	5%	13%	21%	13%	18%	18%	41%	32%	38%	33%	48%	49%
Ticket size	-12%	-9%	-9%	-10%	-14%	-13%	-13%	-11%	-5%	-11%	-24%	-24%	-25%	-28%	-34%	-34%	-35%	-36%	-38%	-41%

2022 quarterly growth is adjusted to incl Hangzhou KFC.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Commodity price trends were largely stable in July

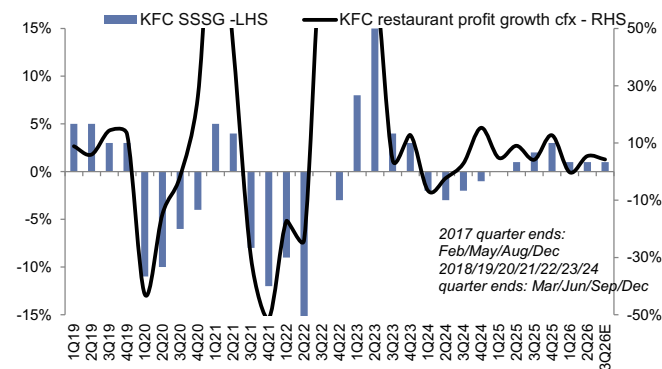
Wholesale price yoy growth on chicken, pork, lamb and beef



Source: Wind, CEIC

Exhibit 3: We expect KFC SSSG/cFX restaurant profits to be +1%/+4% yoy respectively in 3Q26E...

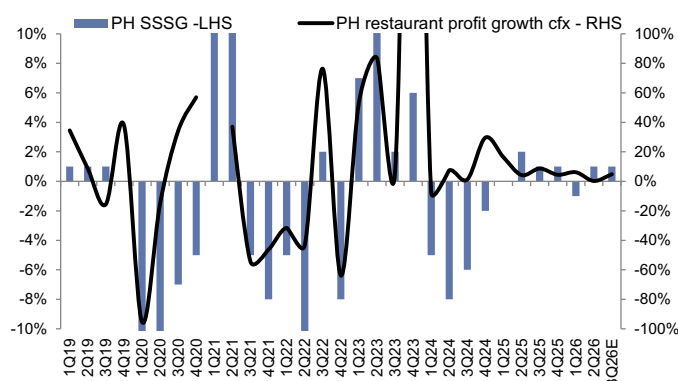
KFC quarterly SSSG vs. quarterly restaurants profit growth



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: ...and +1%/+5% yoy SSSG/cFX restaurant profits change for Pizza Hut

Pizza Hut quarterly SSSG vs. quarterly restaurants profit growth



Source: Company data, Goldman Sachs Global Investment Research

We slightly revised up 2026-28E earnings forecast by ~2.5%, factoring in 2Q26 results, updated FX assumptions, and yoy margin improvement in 2H. In 3Q26, we look for 1%/1% SSSG for KFC/PH respectively, and we look for 0.2pp restaurant margin expansion for both KFC and PH, considering delivery mix base normalized with continuous operating efficiency improvement. At company level, we also look for 0.2pp restaurant margin and OPM expansion. Our current estimate does not reflect the PH brand acquisition impact. Our new 12m TPs are US\$59/HK\$459 (from US\$58/HK\$452 prior), based unchanged on 11X/7X 2026E EV/EBITDA for KFC/PH). We remain Buy rated on the name.

Exhibit 5: YUMC earnings revision

(US\$ millions)	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Total revenues	12,953	12,683	2.1%	13,842	13,287	4.2%	14,829	14,237	4.2%
Company Sales	12,012	11,769	2.1%	12,707	12,200	4.2%	13,488	12,954	4.1%
Franchise Revenues	126	124	1.9%	155	150	3.9%	185	178	3.9%
Others	815	791	3.0%	979	937	4.5%	1,155	1,105	4.5%
Food & paper costs	(3,777)	(3,689)	2.4%	(3,978)	(3,788)	5.0%	(4,211)	(4,009)	5.0%
Payroll costs	(3,325)	(3,265)	1.8%	(3,535)	(3,394)	4.1%	(3,756)	(3,607)	4.1%
Occupancy & Other Operating Expenses	(2,958)	(2,904)	1.9%	(3,111)	(2,988)	4.1%	(3,291)	(3,162)	4.1%
Restaurant profits	1,952	1,911	2.2%	2,083	2,030	2.6%	2,230	2,176	2.5%
G&A and other operating income/expenses	(502)	(493)	1.9%	(510)	(495)	2.9%	(515)	(499)	3.2%
Operating profit- reported	1,450	1,418	2.3%	1,573	1,535	2.5%	1,715	1,676	2.3%
Net interest income/expense	49	52	-6.1%	38	40	-5.4%	41	42	-3.4%
Pre-tax profit	1,482	1,450	2.2%	1,611	1,575	2.3%	1,756	1,719	2.2%
Income Tax Expense	(400)	(394)	1.5%	(435)	(428)	1.6%	(474)	(467)	1.5%
Net Income - reported	1,014	989	2.5%	1,105	1,078	2.5%	1,204	1,176	2.4%
EPS - Basic	2.96	2.89	2.4%	3.38	3.30	2.4%	3.80	3.71	2.2%
EPS - Diluted	2.94	2.87	2.4%	3.36	3.28	2.4%	3.77	3.69	2.2%
YoY %									
Total revenues (cFX)	5.3%	5.0%	0.3ppt	6.9%	6.8%	0.1ppt	7.1%	7.2%	0.0ppt
Total revenues	9.8%	7.5%	2.3ppt	6.9%	4.8%	2.1ppt	7.1%	7.2%	0.0ppt
Company Sales	8.8%	6.6%	2.2ppt	5.8%	3.7%	2.1ppt	6.1%	6.2%	0.0ppt
Franchise Revenues	21.3%	19.0%	2.3ppt	23.3%	20.9%	2.3ppt	19.1%	19.1%	0.0ppt
Food & paper costs	9.3%	6.8%	2.6ppt	5.3%	2.7%	2.7ppt	5.8%	5.9%	0.0ppt
Payroll costs	11.3%	9.3%	2.0ppt	6.3%	3.9%	2.4ppt	6.3%	6.3%	0.0ppt
Occupancy & Other Operating Expenses	5.9%	3.9%	1.9ppt	5.2%	2.9%	2.3ppt	5.8%	5.8%	-0.1ppt
Restaurant profits	8.3%	6.0%	2.3ppt	6.7%	6.3%	0.4ppt	7.1%	7.2%	-0.1ppt
G&A and other operating income/expenses	6.8%	4.4%	2.4ppt	6.3%	4.2%	2.1ppt	7.1%	6.7%	0.4ppt
Operating profit- reported	12.4%	10.0%	2.5ppt	8.5%	8.3%	0.2ppt	9.0%	9.2%	-0.2ppt
Net Income - reported	9.2%	6.6%	2.6ppt	9.0%	8.9%	0.1ppt	9.0%	9.1%	-0.1ppt
Margins %									
% of company sales									
Food & paper costs	(31.4%)	(31.3%)	-0.1ppt	(31.3%)	(31.0%)	-0.3ppt	(31.2%)	(31.0%)	-0.3ppt
Payroll costs	(27.7%)	(27.7%)	0.1ppt	(27.8%)	(27.8%)	0.0ppt	(27.8%)	(27.8%)	0.0ppt
Occupancy & Other Operating Expenses	(24.6%)	(24.7%)	0.0ppt	(24.5%)	(24.5%)	0.0ppt	(24.4%)	(24.4%)	0.0ppt
Restaurant profit margin	16.3%	16.2%	0.0ppt	16.4%	16.6%	-0.3ppt	16.5%	16.8%	-0.3ppt
Operating profit- reported	11.2%	11.2%	0.0ppt	11.4%	11.6%	-0.2ppt	11.6%	11.8%	-0.2ppt
Effective tax rate	27.0%	27.2%	-0.2ppt	27.0%	27.2%	-0.2ppt	27.0%	27.2%	-0.2ppt
Net margin	7.8%	7.8%	0.0ppt	8.0%	8.1%	-0.1ppt	8.1%	8.3%	-0.1ppt
Other operating metrics									
SSSG	0.9%	0.9%	0.0ppt	2.0%	2.0%	0.0ppt	2.0%	2.0%	0.0ppt
KFC	1.0%	1.0%	0.0ppt	2.0%	2.0%	0.0ppt	2.0%	2.0%	0.0ppt
PH	0.5%	0.5%	0.0ppt	2.0%	2.0%	0.0ppt	2.0%	2.0%	0.0ppt
Total number of stores	20,286	20,211	75	22,566	22,491	75	25,036	24,961	75
KFC	14,447	14,397	50	15,827	15,777	50	17,247	17,197	50
PH	4,823	4,768	55	5,463	5,408	55	6,133	6,078	55
Others	1,016	1,046	(30)	1,276	1,306	(30)	1,656	1,686	(30)
Growth of total store count yoy	12.1%	11.7%	0.4ppt	11.2%	11.3%	0.0ppt	10.9%	11.0%	0.0ppt
KFC	11.2%	10.8%	0.4ppt	9.6%	9.6%	0.0ppt	9.0%	9.0%	0.0ppt
PH	15.7%	14.4%	1.3ppt	13.3%	13.4%	-0.2ppt	12.3%	12.4%	-0.1ppt
Others	8.5%	11.8%	-3.2ppt	25.6%	24.9%	0.7ppt	29.8%	29.1%	0.7ppt

Source: Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Yum China Holdings

Valuation methodology: We are Buy rated on YUMC with 12-m SOTP-based target prices of US\$59/HK\$459 for the ADR/H-share. Our target multiples are 11x 2026E EV/EBITDA for KFC China and 7x for Pizza Hut China.

Key downside risks: 1) weaker-than-expected SSSG; 2) higher-than-expected commodity costs; 3) stronger-than-expected competition; and 4) lower-than-expected execution efficiency.

Disclosure Appendix

Reg AC

We, Michelle Cheng, Xinyu Ruan and Molly Dai, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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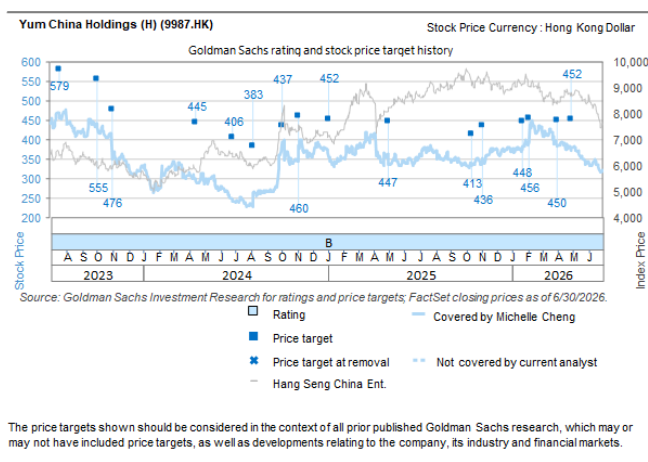
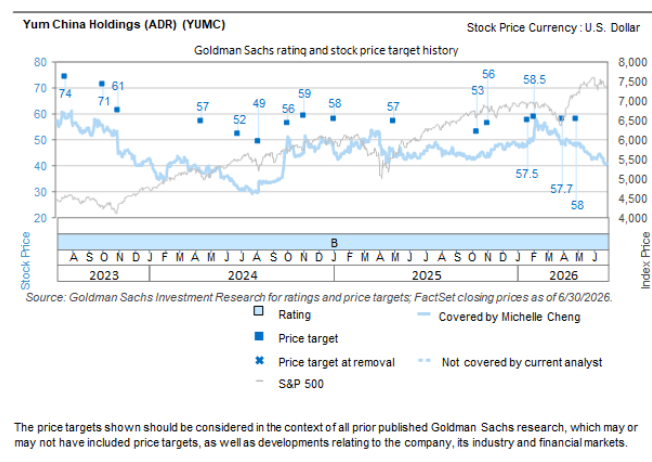
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Price target and rating history chart(s)



Target price history table(s)

Yum China Holdings (H) (9987.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
29-Apr-26	452.00	379.20
31-Mar-26	450.00	385.40
04-Feb-26	456.00	392.40
21-Jan-26	448.00	375.80
04-Nov-25	436.00	352.00
14-Oct-25	413.00	331.80
30-Apr-25	447.00	362.60
03-Jan-25	452.00	354.00
04-Nov-24	460.00	360.60
02-Oct-24	437.00	393.20
06-Aug-24	383.00	252.80
27-Jun-24	406.00	241.80
15-Apr-24	445.00	295.00
01-Nov-23	476.00	356.20
03-Oct-23	555.00	430.60

Yum China Holdings (ADR) (YUMC)

Date of report	Target price (\$)	Closing price (\$)
29-Apr-26	58.00	48.69
31-Mar-26	57.70	48.78
04-Feb-26	58.50	53.14
21-Jan-26	57.50	48.75
04-Nov-25	56.00	44.82
14-Oct-25	53.00	43.07
30-Apr-25	57.00	43.31
03-Jan-25	58.00	44.61
04-Nov-24	59.00	48.30
02-Oct-24	56.00	51.01
06-Aug-24	49.00	33.37
27-Jun-24	52.00	31.32
15-Apr-24	57.00	37.73
01-Nov-23	61.00	44.56
03-Oct-23	71.00	54.30

Price targets shown in table(s) are unadjusted for corporate actions.

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